

Apex Electronics Ltd – FY2023 Board Paper

Date: 29 January 2024 | Confidential – For Board Use Only

1. Executive Summary

FY2023 was a year of consolidation for the Group following two years of post-pandemic demand normalisation. AU continued to scale through its dual-sourcing strategy and a refreshed connected-home product range, delivering modest EBITDA expansion. NZ stabilised under new permanent leadership and delivered low-single-digit revenue growth, although operating margins remained below historical norms.

2. Group Financial Performance

Group revenue grew ~7% year-on-year, with AU contributing the majority of the increase. EBITDA margin compressed slightly versus FY2022, reflecting continued input-cost inflation, partially offset by pricing actions taken in H2. Working capital remained well-managed; aged inventory in NZ increased modestly and is targeted for clearance in H1 FY2024.

3. Operational Highlights

AU: Implementation of predictive maintenance across the Sydney facility delivered a measurable reduction in unplanned downtime. Direct-to-consumer channel grew 18% on the back of platform investment.

NZ: Channel partnership with Security Tech Inc. continued to be the single largest revenue driver. The Board notes the Group's reliance on this counterparty and has requested a diversification plan in FY2024.

4. People & Leadership

The Group is pleased to confirm the permanent appointment of the NZ General Manager (refer Appendix B) following the FY2022 transition. With this appointment, all senior NZ executive roles are now permanently filled and the Board considers NZ leadership stability to be restored.

5. FY2024 Outlook

Management expects continued mid-single-digit growth at Group level, with modest EBITDA margin expansion driven by AU operating leverage and the anticipated FY2024 product launch (refer Strategy paper, August 2023). NZ is expected to deliver in line with FY2023.

6. Resolutions Requested

Approve the FY2024 budget envelope; note the FY2023 results; endorse the NZ customer-diversification programme.

Appendix B — NZ Leadership Update (scanned)

The following appendix has been included as a scanned image of the original signed memorandum.

Apex Electronics Ltd

FY2023 Board Paper — Appendix B

Section B1. NZ Leadership Update

Following an extensive search process, the Board confirms the permanent appointment of Mr. James O'Connor as General Manager, Apex Electronics NZ, effective 1 January 2023. Mr. O'Connor joins from a senior operating role at a regional electronics distributor and brings 14 years of channel and supply-chain experience to the role.

The Board considers this appointment closes the leadership transition initiated in mid-2022 and provides a stable platform for execution of the FY2023 NZ growth plan. No further changes to the NZ executive team are anticipated in the FY2023 horizon.

Section B2. Customer Concentration — NZ Channel

Approximately one third of NZ FY2022 channel revenue was delivered through a single reseller relationship (Security Tech Inc.). Diversification of the NZ customer base is a stated FY2023 priority of the new GM.

— End of Appendix B —